

ETOR · FY2025 Q4

eToro Group Ltd. · 85 turns · 16 participants

CAST (IN ORDER OF APPEARANCE)**Operator**

Operator

Yoni Asya

CEO

Alex Cram

Analyst, UBS

Brian Bedell

Analyst, Deutsche Bank

Dan Dolev

Analyst, Mizuho

Devin Ryan

Analyst, Citizens Bank

James Yarrow

Analyst, Goldman Sachs

Joseph Vafi

Analyst, Canaccord

Daniel Amir

Head of Investor Relations

Mehran Shani

CFO

Brett Noblock

Analyst, Cantor Fitzgerald

Craig Siegenthaler

Analyst, Bank of America

Dan Fannin

Analyst, Jefferies

Ed Engel

Analyst, CompassPoint

John Todaro

Analyst, Needham & Company

Robin Holbein

Analyst, TD Cowen

DANIEL AMIR Head of Investor Relations

Hi, my name is Daniel Amir, Head of Investor Relations. This webcast is being recorded and will be available for replay in the Investors section of eToro's website. Our earnings press release, investor presentation, and January monthly spreadsheet is now available on our website at investors.eToro.com. Today, I'm joined by Yoni Asya, our CEO, and by Mehran Shani, our CFO. Following the prepared remarks, we will conduct a Q&A session and answer questions from both institutional research analysts and a selection of the most upvoted questions previously submitted by eToro's retail shareholders. But before we begin, I want to note that today's discussion contains forward-looking statements, including statements about goals, business outlook, industry trends, market opportunities, expectations for future financial performance, and similar items, all of which are subject to risks, uncertainties, and assumptions. And you can find more information about these risks and uncertainties in the press release that we issued today and the risk factors section of our filings at [scc.gov](https://www.sec.gov). Actual results may differ and we take no obligation to revise or update any forward-looking statements. Finally, during today's meeting, we will discuss non-GAAP financial measures. These non-GAAP financial measures are in addition to and not a substitute for or superior to measures of financial performance prepared in accordance with GAAP. Definitions and reconciliation of GAAP to non-GAAP measures is available in our press release, investor presentation, and on the [sec.gov](https://www.sec.gov) website as applicable. With that, I will pass the call to Yoni.

YONI ASYA CEO

Thank you, Daniel, and thank you, everyone, joining us here today. Welcome to our fourth quarter 2025 earnings call. After Mehron and I finish our prepared remarks, we'll open the call for questions. 2025 was a defining year for eToro. We became a publicly traded company on NASDAQ. We accelerated innovation and AI adoption across our platform, broadened and localized our product offering, and expanded our presence in key markets such as the U.S., while continuing to strengthen our global footprint. More importantly, we made amazing progress towards the

financial super app we're building, all while delivering growth across our primary KPIs. We're operating at a pivotal moment for financial services. AI is advancing at an unprecedented pace, reshaping how people access information, make decisions, and interact with markets. At the same time, financial services are continuing to move on chain, enabling a more continuous, transparent, and borderless global market infrastructure. Along these technological shifts, we're seeing a structural increase in retail participation in markets across the globe and the largest generational transfer of wealth in history. Together, these forces are driving demand for a seamless digital-first investing experience that is more personalized, more intuitive, and available at all times. At eToro, we're at the forefront of this evolving financial landscape, using technology and community to power our users to become better, more confident, and more engaged investors. Our focus is on expanding access to global markets, moving towards 24-7 trading, bringing financial assets on chain, broadening our crypto and decentralized finance offering, while continuing to provide the full suite of investing and savings products in traditional markets. enabling partners to build and trade through our eToro APIs and interact with eToro apps, leveraging AI to help users make smarter investment decisions. All of this is delivered through a simple and transparent investing experience, in line with our mission to democratize investing and give anyone, anywhere the tools they need to grow their knowledge and wealth. While we're proud of the progress we've made, we see a significant opportunity ahead. We are confident in our ability to capture this opportunity for the benefit of our shareholders, users, and partners. Turning to our results, we delivered a strong fourth quarter that reflects continued momentum and the strength of eToro's diversified offering. For the year, net contribution increased 10% to \$868 million and rose 6% sequentially in the fourth quarter to \$227 million. Adjusted EBITDA grew 4% year-over-year to \$317 million and 11% quarter-over-quarter to \$87 million, delivering a 38% adjusted EBITDA margin in the quarter. We achieved these results despite the current crypto market environment, underscoring the strength of our multi-asset model and the benefits of our global diversification across geographies and asset classes. We first offered crypto trading on eToro in 2013, And since then, we've been through several crypto market cycles. We've seen people write off crypto. We've kept building. Over time, we have built a truly global multi-asset platform spanning crypto, equities, commodities, and currencies. That breadth allows us to adopt as market activity shifts and to perform in any market condition. In 2025, we continue to execute across our four product pillars, trading, investing, wealth management, and neobanking. In trading, our focus remains on expanding product reach, flexibility, and global market coverage. Since 24-5 equity trading, we've seen very strong adoption, reinforcing our belief that investors around the world want the ability to engage with markets on their own time and terms. We now offer 24-5 trading across all S&P 500 and NASDAQ 100 stocks, which has contributed to a doubling of our total stock trading volume over the past two years. We continue to listen closely to our active traders across 75 different markets as we accelerate toward 24-7 trading and expanded margin capabilities. This quarter, we're introducing around-the-clock access to a selection of popular assets with plans to expand 24-7 trading across additional asset classes. We're already seeing traditional capital markets begin to follow the always-on 24-7 model pioneered by crypto. In Q4, we surpassed 150 supported crypto assets with plans to expand to more than 300 in the near term. In the US, we significantly broadened our crypto offering in 2025 to over 100 crypto coins, adding a wide range of new assets and enhancing our staking capabilities. These milestones mark an important progress in our localization strategy and broader asset expansion. By the end of 2026, we plan to support over 100,000 tradable assets across equities and crypto. In investing, we continue to broaden access to global markets. In 2025, we expanded coverage to include Hong Kong, Nordic and Middle East stock exchanges. And today, we provide access to 25 exchanges from across the world and over 12,000 assets on the platform. It was also a year of continued innovation in smart portfolios, with a focus on localization, partnerships, and alpha. This quarter, we launched two new smart portfolios in partnership with Amundi, Europe's largest wealth manager. These portfolios provide access to professionally managed strategies that combine broad market exposure with forward-looking investment themes available in local currencies. At the same time, our pro investor community continued to expand, growing from about

3,200 at the end of 2024 to now over 5,000, reflecting strong momentum in copy trading and community-driven investing. This caps the year in which we also introduced our alpha portfolios, our AI-powered quantitative strategies and established new partnership with Franklin Templeton, BlackRock and WisdomTree. Today, we have more than 127 smart portfolios on our platform. In Q4, we also expanded our stock lending program in the UK and margin trading in Europe, enabling users to earn additional buying power and yield on their equity holdings, thereby enhancing passive income opportunities. In wealth management, adoption of our long-term tax-adventure savings solutions continue to accelerate, expanding our presence across trillion-dollar addressable markets in Australia, UK and France. In the UK, we strengthened our ISA proposition, with assets under administration in Q4 increasing seven-fold year-over-year. In France, we launched new savings products, extending our reach into another large and structurally attractive tax advantage investment market. Together, these markets represent a multi-trillion dollar long-term opportunity. As we look ahead, we remain focused on further localizing and scaling our wealth offering to capture that opportunity. Turning to neobanking, momentum continues to build with eToro Money, which is now fully integrated into the core platform, delivering seamless end-to-end money management experience. The past year was a breakthrough year for eToro Money, with multiple product launches driving a 29% year-over-year increase in total money transfers. We also expanded our debit card footprint, and this past quarter we saw a 650% increase from Q4 2024 to Q4 2025 in transaction volume. We are rolling out our non-custodial crypto wallet, which bridges traditional finance and decentralized finance, enabling users to hold, stake, and transfer crypto, as well as accessing decentralized finance markets such as swaps of 100,000 different assets. As we discussed in our last earning calls, we see a consistent set of themes driving eToro's continued growth and supporting the democratization of investing. These themes continue to guide our strategy as we move on to 2026. Firstly, innovation. As I mentioned at the start, we're at a pivotal moment for financial services with the advance of AI and the move on chain progressing at rates we could not have anticipated a few years ago. Innovation has always been at the core of eToro. From the beginning, our goal has been to use technology to remove barriers, simplify investing, and give individuals access to opportunities that were previously reserved for institutions. That philosophy hasn't changed. What has changed is the scale of the opportunity and the power of the tools now available to us. We're committed to staying at the forefront of this revolution. We're now an AI-first company. We're embedding AI across our business to accelerate product development, to prove efficiency, and enhance how we operate at scale. AI is becoming a core part of our operating model helping our teams to move faster and focus on delivering the most impact. Processes that historically took months or even years are now achievable in a matter of days, if not hours. We're building now our eToro super app 100% with AI. All of the eToro apps are developed 100% by AI. But it's not just the code, rather the entire way how we operate and plan. AI means we can move 10 times faster. It is accelerating our growth, enabling us to innovate more rapidly without a corresponding increase in complexity or headcount. AI is now core to the eToro experience. It enables us to deliver smarter tools and more personalized insights at scale. Tori, our AI analyst, continues to evolve as new AI models come online, becoming an increasingly powerful companion for investors. Across the platform, AI helps users interpret market dynamics, assess portfolio performance and risk, and ultimately make better investment decisions. Through our public APIs and a suite of AI-powered tools, users and partners can build, share, and scale strategies and apps, creating a growing ecosystem. We are launching apps as part of our new upcoming launch of our App Store, which will bring and force capabilities into a retail trading experience. eToro apps will include additional AI tools like Base44 and OpenClan, and we already have nearly a thousand apps in the pipeline. In parallel, we're actively building as finance moves increasingly on-chain. With a long history, In crypto and tokenization, eToro is already part of this transition. Our holistic crypto offering positions us to continue bridging digital assets and traditional markets, supporting the evolution from crypto trading today to tokenized markets and new forms of financial participation over time. To be clear, this is not about or dependent on the spot price of crypto assets at any given point in the cycle. This is about building a platform that is poised to lead the inevitable shift to on-chain market infrastructure. This will unlock

for our users new types of tokenized real-world assets already in 2026, such as tokenized private markets and real estate. Our non-custodial wallet is the gateway to Web3. Over time, the wallet will expand to support tokenized assets, swaps, lending, prediction markets, and perpetual, where applicable. Throughout the year, we plan to roll out a broad range of new products across these areas. Taken together, these innovations are about empowering, smarter investing. It's about leading the next evolution of investing, opening the global markets, connecting people to better tools and insights, enabling everyone anywhere to participate in a simple and transparent way. Secondly, global expansion. Our global footprint continues to be a key differentiator, and we remain focused on strengthening that advantage. We will continue to expand our product offering in existing regions while selectively entering new markets. By combining a global platform with a localized user experience, we're able to grow in markets where we're still early, while deepening engagement and increasing our share of wallet in more established regions. To this point, in 2025, we saw an 80% year-over-year trading volume in non-US stocks activity. In Asia, establishing Singapore as a regional hub last year provides a strong foundation to reduce more investors to eToro from the region. We expect to introduce additional products and increase targeted marketing activity as the year progresses. In Europe, where we already have a meaningful scale, our focus is on deepening relationships with existing users and increasing share of wallet. We continue to enhance our localized offering, particularly in savings and long-term investing, as we work to capture a greater share of wallet across our core European markets. In the U.S., the world's largest retail investing market, we are in the process of bringing the fully Toro experience to the U.S. As a global pioneer in social investing, we have spent more than a decade building community-driven tools such as CopyTrader, which enables investors to learn and invest alongside the smarter investors. Furthermore, we plan to roll out additional crypto products and smart portfolios to drive engagement and momentum over the coming quarters. More broadly, we continue to evaluate new market opportunities, prioritizing regions with strong financial literacy, digital adoption, and sustained demand for trading and investing. Thirdly, macro trends. We continue to align with powerful long-term market trends that are reshaping global investing. We are at the early stages of the largest wealth transfer in history, with more than \$120 trillion expected to move to younger generations over the next 20 years. These investors are digital first, more self-directed and more engaged with equities and crypto than any generation before them. This shift aligns directly with our platform and positions eToro to support how the next generation builds and manages its wealth. At the same time, our global footprint provides meaningful exposure to structurally under-penetrated retail investing markets. In the United States, around 60% of households have some exposure to equities, while in Europe, retail participation remains significantly lower, with brokerage account penetration still in the single digits in some markets. This gap highlights the long-term opportunity ahead and reinforces why we believe eToro is well positioned to lead the next phase of global retail investing growth. To summarize, We delivered resilient net contribution and strong adjusted EBITDA performance in 2025. And in the fourth quarter, we continued to see positive KPI trends in January, largely driven by strength in commodity trading activity, demonstrating the strength of our diversified multi-asset model. Looking ahead to 2026, we're confident that our strategy, continuing to leverage technology to innovate, expanding globally, and aligning with long-term macro trends, position us to capture significant opportunities. We see 2026 as a year of accelerated momentum growth. We're uniquely positioned as both a native crypto company and a global equities trading platform and believe we're building a strong foundation for long-term, sustainable value creation for our shareholders, users, and partners. With that, I'll now turn the call over to Moran to walk us through the financial results.

MEHRAN SHANI CFO

Thank you, Yoni. Fourth quarter net contribution was \$227 million, a 6% sequential increase, demonstrating the continued momentum and durability of our diversified business model. Adjusted EBITDA was \$87 million, an 11% improvement quarter-over-quarter, reflecting strong execution and disciplined cost management. The year-over-year

adjusted EBITDA decline was impacted by the crypto tailwind and unique market conditions that followed the previous year's U.S. presidential elections. In line with our focus on diversified profitable revenue growth, our adjusted EBITDA margin was 38%. AUA for the quarter increased 11% year-over-year to \$18.5 billion. The increase was driven by record net deposits and improving customer retention metrics. Our funded accounts grew 9% year-over-year to \$3.81 million. This growth reflects the strength of our multi-asset business model and our disciplined, data-driven marketing approach. Let's take a closer look at the fourth quarter financials by business lines compared to a year ago. Net trading contribution from capital markets, including equities, commodities, and currencies, increased 43% year-over-year to \$116 million, driven by investor rotation between crypto and traditional asset classes, with particularly strong performance in commodities. This pattern is consistent with historical behavior and highlights the strength of our diversified multi-asset platform. In contrast, net trading contribution from crypto declined 72% year-over-year to \$26 million due to the crypto tailwinds in the fourth quarter of 2024 that I had mentioned before. The decline was primarily driven by lower invested amount per trade and softer trading activity, particularly in November and December. As we have seen in prior crypto cycles, these periods of volatility are expected, and our diversified business model continues to demonstrate resilience across market conditions. Net interest income contributed \$59 million, up 18% year-over-year, largely driven by a 29% increase in higher interest earning assets due to an increase in customers' cash deposits, customers' margin book, staking, and corporate cash. This growth was achieved despite a moderating interest rate environment, reflecting the strength of our balanced growth. Itoro Money's contribution declined 6% year-over-year to \$23 million, largely driven by higher year-over-year cash redemption in crypto in 2024 due to market conditions we had mentioned before. In the fourth quarter, adjusted OPEX was in line with our expectations at \$140 million. Our adjusted selling and marketing expense was \$46 million, or 20% of net contribution. Our marketing strategy continues to generate strong and disciplined returns, with shorter payback periods delivering ROI within the same year and cohorts driving sustained commission growth over time. Notably, our 2024 cohort has already achieved a 1.8 times return on investment, while our 2020 cohort has delivered 5.6 return on investment, demonstrating the durability of our model. Importantly, we continue to see cohorts generating meaningful revenue, even after eight years, underscoring the long-term lifetime value of our customers. Given the strength of our cohort returns and our objective to accelerate growth in 2026, we plan to increase our sales and marketing investment from 21% scaling gradually to 25% of net contribution. Importantly, this spend remains highly flexible and can be adjusted based on market conditions and performance. We are making this decision from a position of confidence, as the ROI profile supports incremental investment, and we expect this increased spend to drive accelerated growth across our key KPIs in the year ahead. Adjusted R&D and G&A and operating expenses were \$37 million and \$57 million, respectively. Our adjusted diluted EPS for the quarter was 71 cents compared to 79 cents in the fourth quarter of 2024. Moving to our balance sheet, we ended the quarter with \$1.3 billion in cash, cash equivalents, and short-term investments, and generated \$42 million in free cash flow from operations. Furthermore, we do not have any material exposure to crypto or commodities on the balance sheet. In the fourth quarter, we repurchased 1.5 million shares with \$59.5 million, pursuant to our previously communicated share repurchase program. Lastly, alongside today's earnings release, we announced an additional \$100 million authorization under our share repurchase program, increasing total authorization to \$250 million. To date, we have deployed \$100 million under the program. This reflects our confidence in the long-term outlook and our commitment to driving shareholder value. Given our strong cash generation and balance sheet, we have the flexibility to continue executing buybacks while also evaluating selective M&A opportunities to support disciplined inorganic growth. Now let me share a few comments on our first quarter trends. As part of our quarterly results today, we also released our January monthly KPIs. The month of January saw improved KPIs versus November and December. Our capital markets business saw significant year-over-year growth in both total number of trades and invested amount per trade. This was largely driven by equities and commodities. Both our AUA at \$18.4 billion and funded accounts at \$3.85 million were up

year-over-year. These solid KPIs are a testament to our multi-asset strategy's support of strong results despite a soft crypto pricing environment. To summarize, we are excited to start the year with solid January KPIs and are looking forward to driving meaningful profitable revenue growth in 2026. With that, Daniel, let's move to Q&A.

DANIEL AMIR Head of Investor Relations

So the first questions comes from our list of questions that we have been pre-submitted by our retail investors. This question is for Yoni. Yoni, so how has eToro managed the current volatility in commodities?

YONI ASYA CEO

So we're very excited to see a lot of engagement and very high volumes. The highest volumes we've seen actually are in October last year and now January as well as gold rise to \$5,500 and then seen significant volatility. And we've seen significant engagement of our customers and high trading volumes in commodities both in October and in January this year.

DANIEL AMIR Head of Investor Relations

Thank you, Yoni. Operator, we'll now open the queue for questions from our institution analyst.

OPERATOR Operator

Thank you. If you'd like to ask a question, please press star 1-1. If your question has been answered and you'd like to move yourself, press star 1-1 again. Our first question comes from Dan Fannin with Jefferies. Your line is open.

DAN FANNIN Analyst, Jefferies

Thanks. Good morning. I was hoping you could just provide a bit more context on the current crypto market backdrop and how this compares to maybe other downturns and then in that, you know, how you guys are potentially operating differently this time versus previous periods.

YONI ASYA CEO

Sure. So first, this is our first crypto cycle. We've seen these crypto cycles in the past as well. We remain extremely bullish on crypto, on Bitcoin's future, as well as other leading blockchains, as well as what we're seeing is the friendliest administration and regulatory environment towards crypto innovation and towards tokenization and capital markets moving on chain. We have seen in the past the volatility or corrections happening in crypto markets. They are corrections. So as a volatile asset class, corrections that are sort of more significant or have a higher amplitude usually than capital markets. And in the past, what we've done, as always, is shifted focus. When we see less interest in crypto, we shift the focus from a marketing perspective to basically equities, to commodities, which we're seeing very high engagement levels on. And we keep on building constantly new products in crypto. So we've actually developed a very significant crypto roadmap with our non-custodial wallets with new products coming into crypto. And we have no doubt that we'll see more and more engagement, especially, by the way, of younger crypto native generations into crypto, despite the price of Bitcoin right now at lowers than Q4 2025.

DAN FANNIN Analyst, Jefferies

Great, thank you. And just as a follow up, you mentioned marketing, sales and marketing going from 21% to 25% as a result of what you see as opportunity. Can you talk the time period for which you expect that to occur? And then more broadly, just about the expense outlook for 2026 would be helpful.

MEHRAN SHANI CFO

Sure. Yeah, sure. So we expect to grow gradually. So in Q1, you should not expect to see 25%. We are looking to grow there, looking at the right opportunities. But conceptually, as we've seen great results in the history, also, as we shared on the slides that are the investors deck as well. We have the ability to scale up, so we're going to look into new opportunities and new markets. We've already seen some early signs in the U.S. that the marketing is working, so we're looking to expand over there. We're looking to expand in the new regions as well that we launched, whether it is Singapore that we launched last year or it is UAE we launched a few years back. We're seeing some great results, so we're happy to scale there. So it will not happen necessarily in Q1, but gradually throughout the year, we will get to 25%. And if we see opportunities, we have the right flexibility in the model to be able to scale even further than 25%. Great.

DAN FANNIN Analyst, Jefferies

Thank you.

OPERATOR Operator

Thank you. Our next question comes from Devin Ryan with Citizens Bank. Your line is open.

DEVIN RYAN Analyst, Citizens Bank

Great. Good morning. The question on AI, obviously a lot of talk on the call here. Good to hear that you guys are ahead of the curve. As we think about AI being further integrated into the model and even kind of the next kind of iteration with agentic AI, when we think about that combined with more trading on-chain, instant settlement 24-7, what does that mean for the outlook for trading at eToro over time? Should we see a step function here with kind of integration of those two themes?

YONI ASYA CEO

Well, in the medium term, I definitely believe this is a significant step function with advancements in AI, whether it's things like OpenClaw, the new models, our APIs, the launch now of the App Store. which actually all cater to more sophisticated investors and more sophisticated in automating trading strategies, I do believe over time we'll see a significant uplift in the algorithmic or the automated trading activity on eToro, moving basically from click to trade to many of our customers using automated strategies over time. And that will lift significantly over time trading volumes and trading clicks.

DEVIN RYAN Analyst, Citizens Bank

Okay, great. And then quick follow-up here to Dan's question, just on the increased marketing. What does that mean for the equation for kind of new account additions? How should we think about account growth over the next couple of years here? And should we think about the same CAC math or is it going towards something else?

YONI ASYA CEO

So CAC math, I believe, is very similar. That's basically how we've always managed our increase in scale of marketing is over roughly three and a half to four and a half expected ROI of CAC to LTV. We are expecting double-digit account growth, and that's also where we see opportunities right now to scale up marketing activities to basically scale up account growth over time.

DEVIN RYAN Analyst, Citizens Bank

Okay, great. Thanks so much.

OPERATOR Operator

Thank you. Our next question comes from Alex Cram with UBS. Your line is open. Thank you.

ALEX CRAM Analyst, UBS

Yes. Hey, good morning, everyone. Also, just another follow-up from Dan's question. I don't think you answered the other expense outlook, so maybe talk a little bit about the pace of G&A and R&D expansion that you're expecting for 2026.

MEHRAN SHANI CFO

Thank you. Yeah, so while we don't publish any guidance with regards to our operating expenses besides marketing, we do expect our GNA and R&D to be roughly at the levels where we are these days, maybe with a few minor percentages of growth. We don't expect any significant growth over there and any growth over there we have the levers to generate more efficiencies also within the existing cost base.

YONI ASYA CEO

I would just comment also that in my view, what we're seeing in AI internally is significant opportunities of scaling the business without scaling expenses over time. We did do about a month ago an adjustment to headcount as well, and I believe as we're using more and more technologies, we will be able to scale the business significantly over time without the need to basically increase adjusted cost basis.

ALEX CRAM Analyst, UBS

Okay, great. Thank you. And then maybe just secondly, I don't think you proactively addressed M&A unless I missed it, but that was a big part of the story to go public. Obviously, your currency, meaning your stock, it's not been as favorable, so maybe that hasn't helped. But just wondering what your appetite is. You talked about global expansion. We haven't seen much yet. So maybe talk about what we should be expecting in 2026 and what the target companies are saying in terms of purchase prices, et cetera. Thank you.

YONI ASYA CEO

Sure. So first of all, we do expect to see several M&A deals in 2026. We have been in active discussions with several target companies over the last six months since the IPO. I would say we have a high appetite for M&A, but we want to make sure we're selective and find the right accretive opportunities. And I think also right now we do see opportunities both in the crypto space, both in the U.S., but also globally, as well as in the new brokerage and wealth management space. So we've been in this space for a long while, for 18 years. We know a lot of the great founders, great teams, great companies, and we are looking for the right teams and the right opportunities to join eToro in scaling 10 and 20X. Anything to add there? No, you covered it. And I think, obviously, we have a significant balance sheet. We have our revolver as well. So we feel comfortable in looking at sizable deals, but again, at the right price and being accretive.

ALEX CRAM Analyst, UBS

Very good. Thanks again, guys.

OPERATOR Operator

Thank you. Our next question comes from Dan Dolev with Mizuho. Your line is open.

DAN DOLEV Analyst, Mizuho

Hey, guys. Great results here. Really, really strong across the board. Congrats. I have a question and then a quick follow-up. So just really quickly, Yoni and Mehran, on the crypto take rates, obviously down and you spoke to some of that. How should we think about this for the rest of the year? And then I have a follow-up. Thank you.

MEHRAN SHANI CFO

Yeah, so there was a slight decline in the take rate in Q4. We had a small exposure on the balance sheet, which is less than \$20 million, but caused the take rate to decline from the usual 1% to 0.7%. So it's really immaterial going forward, and we don't expect that to deviate much from the usual 1% that we have delivered so far.

DAN DOLEV Analyst, Mizuho

Okay, great. And then maybe as a follow-up, can you talk a little bit about your app store and app strategy? That would be really, really helpful. Thank you.

YONI ASYA CEO

Sure. I think we've been early to realize that our community of pro investors are people that are super passionate about capital markets and wanted more advanced tools. And that coincides with the ability of AI to actually write amazing software. So we started with Base44 since then acquired by Wix and basically enabled our pro-investors. Now there are almost or about 1,000 apps developed by 800 of our popular investors from the pro-investor program. And they're developing really amazing tools. And those tools basically reflect sort of how a smart investor looks at the market. We started publishing these apps this week and we'll be embedding them inside the app. So think about sort of scaling up significantly eToro's ability to innovate towards the rest of the users and building a subscription model on top of that. So just as an example, we've had somebody build basically Titan Invest where you can actually talk to the greatest investors of all times about what's in your portfolio and what's the recommendation around your portfolio so you can actually get their views from their personalities. And we've seen many, many amazing innovations from people building their own chief investment room with risk management and geopolitical risk to people who are actually building add-ons, which are quite cool, like swapping assets on the eToro platform. So we expect a lot of these apps to be useful not only to the pro-investors building them, but actually to the rest of the eToro community expanding significantly or accelerating product innovation by a scale to our customers. And I'd say that we've seen another step function just over the last two weeks with Opus 4.6 with OpenClaw. Suddenly we've seen a lot of our customers actually using OpenClaw on top of eToro's APIs and MCPs, which are the AI-based APIs, and again, unleashing another wave of creativity from our pro investors who've been with us, 65% of them more than five years, all of them passionate about capital markets and building very, very cool things for themselves, and then being able to share them and monetize them with the rest of the eToro customers.

DAN DOLEV Analyst, Mizuho

Very cool stuff. Congrats again.

YONI ASYA CEO

Thank you.

OPERATOR Operator

Thank you. Our next question comes from Brian Bedell with Deutsche Bank. Your line is open.

BRIAN BEDELL Analyst, Deutsche Bank

Great. Thanks. Good morning. Thanks for taking my questions. Maybe just shifting back to the U.S. strategy, if you could just update us on the customer traction. I think you were at around 300,000 customers in the U.S., How that's

going, and especially on the copy trading side, you've ruled that out. I think you said you've gotten pretty good reception so far. Any numbers you could share on that and then related to that, both on the pro-investor side and also the appetite for those in the U.S. that want to copy pro-investors? And then any update on the plan for the U.S. pro-investors to be paid? I think you have to get a fiduciary license, but I think you had a couple different routes for that.

YONI ASYA CEO

Sure. So we've been very active since the IPO in expanding eToro's US product launches and product roadmap. Since then, we've launched CopyTrader. We plan to launch in H1 this year Smart Portfolios, which is based on our RIA license, which is in process. We're looking at prediction markets as well for the US. We've seen a significant uptake as we started scaling some of the marketing activities from Q4 to Q1. So we are seeing a significant uptick to something that's still early stages of the U.S. business, but we're very excited about continuing to launch all of eToro's global product roadmap here in the U.S. I do believe that now with being able to accelerate product development, we'll be able to actually launch more of our products than we expected originally in 2026 here in the US. And we're making sure we are, I'd say, selective in how we scale our marketing budget here in the US. We want to see CAC to LTV while not at the same levels as globally. We want to see that ratio between CAC to LTV increase. We've seen the best ratio we've seen to date last year, especially, by the way, moving forward into the year. And that basically gives us the ability to continue and scale up a marketing activity and then funded accounts where we believe product engagement will then follow as well.

BRIAN BEDELL Analyst, Deutsche Bank

And then just timing of when you think you'll have the fiduciary license in the U.S. And then you mentioned prediction markets as well. Just any timing on rollout of prediction markets for U.S. customers this year?

YONI ASYA CEO

So, as everything in product, we are working on the RIA license. We hope to be able to launch the Smart Portfolios product, which will be based on the RIA license in Inch One this year. We are in active discussions on the launch of prediction markets, which, of course, requires an additional regulated entity here in the U.S., which is NFA-regulated. So we believe that will be probably later in the year towards a Q3, Q4.

BRIAN BEDELL Analyst, Deutsche Bank

Got it. Great. Thank you so much.

OPERATOR Operator

Thank you. Our next question comes from Brett Noblock with Cantor Fitzgerald. Your line is open.

BRETT NOBLOCK Analyst, Cantor Fitzgerald

Hi, guys. Thanks for taking my question. Congrats on the quarter. Just maybe on the split between kind of where you're spending marketing dollars for the year on maybe U.S. and ex-U.S., I know when you guys IPO, you maybe disclosed some kind of market share statistics on different key countries. Do you have an update to that or just maybe qualitatively on kind of where share has progressed throughout 2025 and maybe expectations for 2026? Thank you.

YONI ASYA CEO

Sure. So first of all, when you look at the size of marketing budget, it's a significant marketing budget globally. The U.S. is still a small part of it. And as we scale, you know, if we scale, let's say, 25%, 30% over the year roughly in 2025, We basically select where to scale more based usually on the CAC to LTV ratio, which we see higher right now in other markets where we have a more developed product in those markets. We have scaled the percentage higher

here. in the U.S. in 2025 versus the rest, and we expect that percentage increase in 2026 to be higher as well, but not extremely high as to sort of bridge the entire gap from the U.S. to our more mature markets. So it is a part of scale-up. Anything to add on that, Mehran?

MEHRAN SHANI CFO

We are looking carefully, obviously, at the ROI against each of the investments very closely. And scaling up as we scale in the market in the U.S. will continue to scale by high percentages, as you mentioned, Yoni. We'll continue to do that this year and next year as we've seen some good results, but it's still not as a material number to quote compared to the entire budget globally.

OPERATOR Operator

Thank you. Our next question comes from Ed Engel with CompassPoint. Your line is open.

ED ENGEL Analyst, CompassPoint

Hi. Thanks for taking my question. It looks like there was a nice rebound in the revenue per trade within the ECC segment in the fourth quarter. Was that uptick driven just by mix of commodities versus equities trading, just maybe a bit more tilted to commodities? And then is it fair to assume, as I think about January, Would revenue per trade likely remain elevated just alongside the string of commodities?

YONI ASYA CEO

So both Q4 and January, we've seen significant commodities activity. Gold and silver, very popular, as obviously we've seen unprecedented volatility and price of both gold and silver. We also now are expanding to 24-7, which we believe will continue to expand activity in commodities as a very unique new product to trade alongside crypto assets on the platform 24-7. Regarding the net contribution per trade, I don't think we can still comment on that.

MEHRAN SHANI CFO

Yeah, I'll comment my usual comment. Like when you look at our revenue per trade on ECC, you should always count at the range of 60 to 75 cents per trade. That's how we always look into it. And in the long term, this is where it converges normally. It is impacted by the higher commodities part of the mix. Also, on the other side, we have higher contribution. We've seen tremendous volumes coming on our copy product, which is our USP. That drives the revenue per trade to be slightly lower as part of the mix. But overall, as you should look into it, it's always the 60 to 75 cents per trade.

YONI ASYA CEO

It's actually very interesting because we're seeing something that we haven't seen before, which is crypto native customers, so people who came into eToro to trade crypto and traded mostly crypto suddenly trading commodities. So I do think there's somewhat of a convergence or a shift from crypto, which now has lower volatility, to now basically gold, silver, and other commodities that have higher volatility. And that's a unique part of eToro also, because when people trade only crypto with only crypto companies versus in eToro, where they can now trade equities and commodities as well. What we see over time is that customers that actually trade multiple asset classes on eToro are more active, more engaged, higher lifetime, and higher lifetime value on the eToro platform.

ED ENGEL Analyst, CompassPoint

Great. Thanks for the color. And then I guess just from our point of view, I mean, it seems like there's a pretty big divergence between just underlying strength of the business and then the stock price. Has the board considered any

other ways to kind of unlock value beyond a stock buyback? I know you've been public for less than a year, but are there any other types of strategic alternatives that have been considered?

YONI ASYA CEO

So I think, first of all, from a Corporate strategy point of view, as we discussed before, we do believe in buybacks and we do believe we'll see M&A opportunities manifest this year. So that's more on corporate strategy. I think from a business perspective and product strategy, very focused on AI products. First, unleashing AI to our customers to increase product velocity and making sure that we also expand our entire product offering in crypto as well as increase the margin capabilities. So we've launched margin trading now in Europe alongside futures in the UK. So enabling our customers to trade also more on exchange markets. on-exchange leveraged products, which obviously will increase velocity as well. So I think all in all, that's the strategy. We believe that providing great service, great product, and accelerating our product rather than innovation to our customers and scaling up, as we mentioned before, also marketing activities to bring on new, more funded accounts that will eventually lead to a larger base of funded accounts that drive activity, increase revenues, profitability over time, and the stock will follow.

ED ENGEL Analyst, CompassPoint

Great. Thanks for calling in.

OPERATOR Operator

Thank you. Our next question comes from Craig Siegenthaler with B of A. Your line is open.

CRAIG SIEGENTHALER Analyst, Bank of America

Thanks for taking my question, and I hope everyone is doing well. So we have a follow-up on M&A following some of your previous comments, but I'm curious on your desire to expand to new geographies versus focusing on keeping your leading share in the continent of Europe. So why not in Europe deepen your moats, keep taking share versus the legacy brokers and banks, building your first mover advantage? and hold off on expanding in new markets where you're probably going to be subscale for some time, or at least until the Toro stock valuation improves, so then the M&A math becomes more attractive.

YONI ASYA CEO

Sure. So first of all, the M&As we're looking at to expand regionally are not sort of, I'd say, significant in scale or we expect them to potentially impact EBITDA margins. So we are looking at this very selective. We're very focused on first and foremost to deepen the existing eToro product in the existing both mature markets such as Europe, UK, Australia, as well as new markets which we've already unlocked, which is Singapore and Asia and, of course, the U.S. So we're not looking to dilute attention from our existing markets. But as we said, looking at selective opportunities if they arise. and create for us basically a local moat, which is a regulated activity where we believe if we bring our products to that market, we can actually scale our business relatively easy without increasing the cost base. I think that's an interesting opportunity, especially as I do believe that now AI is actually accelerating the gap between traditional banks and insurance companies and eToro's product offering.

CRAIG SIEGENTHALER Analyst, Bank of America

Great. Thanks for that. My fault is just on promotions. I know you have a bunch out there, but I want to make sure I'm not missing anything. But on the debit card, I believe there's a 4% back option, but not on anything. So maybe help us with that one. And then also, I think crypto deposits in the U.S., there's like a sliding scale, but you deposit more than

\$5,000 of crypto, you get \$500 initially. And in Europe and parts of Asia, you have something similar on a stock basis. But do you mind summarizing kind of what you have live out there today on the promotional front?

YONI ASYA CEO

Sure. So I won't go into all of the details because we do operate in 12 different regions. Each of them have their own incentive plans. But the same way that we're looking at CAC to LTV on the acquisition front, where you mentioned some of those, which is basically providing an incentive to open an account and deposit, we also provide incentives on product engagement. So We do our analysis, and when we find out that, as an example, a customer in the U.K., if they deposit and bring in, transfer their ISA, which is the equivalent of IRA roughly, into eToro, that increases significantly over time their lifetime value so we calculate basically the same on existing customers on what's the cost of promoting a new product what is the LTV added to that customer if they actually use that promotion over time is that profitable and if it's profitable how basically do we move the needle and scale up product engagement using incentives and in different markets we have different Products and different incentive strategies. You want to add anything into that from the breakdown of the financials?

MEHRAN SHANI CFO

No, the numbers are insignificant at this stage to quote it out.

YONI ASYA CEO

It's still a small part out of the total marketing budget. When it does become significant, we'll break it down.

MEHRAN SHANI CFO

Yeah, it's definitely part of our strategy to make sure that we increase customer acquisition, we decrease the churn of customers by combining those acquisition campaigns and incentivize the campaigns also for CRM purposes.

CRAIG SIEGENTHALER Analyst, Bank of America

Thank you very much.

OPERATOR Operator

Thank you. Our next question comes from Joseph Vafi with Canaccord. Your line is open.

JOSEPH VAFI Analyst, Canaccord

Hey, guys, great results here for Q4. Maybe we double-click on the non-custodial wallet, roll out the strategy there, and maybe intersection with some of the sales and marketing spend.

YONI ASYA CEO

Sure. We're taking more of a product-first approach to crypto native and to the non-custodial wallet. And by the way, that is generally true. We first and foremost promote always sort of the Toro platform of equities, of crypto, of commodities. So that's the forefront platform. And the window, including, of course, copy trader and smart portfolio. And then as we add more products, for example, the card program or now the non-custodial wallet, we use these products to basically offer them to existing customers. So we don't expect our crypto... to increase in any way the marketing activities of eToro. I'd say also it's a bit of a different target audience. So what we are seeing is that more of the crypto-native younger audiences, actually I'd say Gen Zers, are much more active. On non-custodial and crypto wallets, the equivalent, of course, is MetaMask and wallets where basically people actually have their custody in crypto. By definition, it means it's a higher risk product because responsibility on custody sits with the customers. but it actually unlocks a lot of products that are very hard to unlock in TradFi. So just as an example, Solana has now

a million tokens. It's very hard to unlock a million tokens in TradFi, but when you look at the non-custodial wallet, You'll be able to actually swap into hundreds of thousands of assets that are out there. And we do see that interest coming from a younger audience that has a higher, I'd say, risk appetite and also is more savvy on what does it mean to be a crypto native. to move between chains, to swap between chains, to look at opportunities that some of them are mind-boggling, like 40,000 new coins launched on Solana and thousands of coins launched on other blockchains as well. So these opportunities are out there, not only for the U.S. market, but outside the U.S. as well. And we want to make sure that our younger audience can experience that within the eToro framework.

JOSEPH VAFI Analyst, Canaccord

Great, thanks. And then, Moron, I know you quickly mentioned that net retention was pretty good in the quarter. Is there anything to call out on that? Thanks.

MEHRAN SHANI CFO

No, it's part of our strategy to always look at the funded accounts and see how we can grow there from acquisitions. So adding customers and on the other side is making sure that our churn rates are getting lower and lower. We deploy different strategies into that. We've seen great results on that that support us into our plans into the future of growing the marketing spend into 25% gradually throughout the year and making sure that we have and that we achieve a double-digit growth of funded accounts on a constant basis.

JOSEPH VAFI Analyst, Canaccord

Great. Thanks, guys.

OPERATOR Operator

Thank you. Our next question comes from Bill Katz with TD Cowan. Your line is open.

ROBIN HOLBEIN Analyst, TD Cowen

Good morning. This is Robin Holbein for Bill Katz, and thanks for taking the question. I wanted to ask a question on the ROI on the cohorts. Could you unpack what is driving the faster payback period for the newer cohorts, specifically the 2025 ones? It looks like the payback periods are accelerating. Are the customers more engaged, or is it something on the marketing side? Thank you.

YONI ASYA CEO

So we are constantly evolving marketing strategy, being more active in identifying both opportunities, also looking at the higher LTV or the higher payback periods cohorts. We've seen in 2025 a 23% year-over-year increase on what is the first-time deposit average amount of customers. So when you look at online marketing, you can actually see and see what campaign to which product brings better customers that deposit more and generate revenues more. And then, of course, we always want to balance that across what's happening in the markets. Anything to add to that?

MEHRAN SHANI CFO

Yeah, I would say that the marketing machine is very flexible in a way to identify different trends. So when there is a trend in gold or silver, we can very quickly turn the machine into what's really interesting in the market, so have better results coming there. And if the customers are coming with the intent because they are looking for gold, that really helps us improve the ROIs and the year return as well.

YONI ASYA CEO

Basically, the direct correlation between volatility in a specific market where gold, silver indices usually are, it doesn't matter where the price direction is, volatility increases significantly initial LTV and therefore payback period. And the same happens in crypto where there's a significant crypto rally. We're seeing basically customers that come into eToro much more engaged, better cohorts.

ROBIN HOLBEIN Analyst, TD Cowen

Thank you.

OPERATOR Operator

Thank you. Our next question comes from James Yarrow with Goldman Sachs. Your line is open.

JAMES YARROW Analyst, Goldman Sachs

Good morning, and thanks for taking the question. Some of your competitors are building similar products to CopyTrader, which clearly reflects the success that you've had in building this product over time. What does the landscape look like today for CopyTrader in your view, and what can you do to stay ahead of these competitors, some of which are quite scaled.

YONI ASYA CEO

First of all, we are seeing and have seen over the past 18 years a lot of the competitive landscape talking about social trading. So far, we haven't seen anybody actually executing on it. So that's one. Second is we have a significant moat, which is customers that have been on eToro for the past five years, ten years, with very, very solid track record that have their basically AUC already on eToro. So if you look at our... Top two investors on eToro, the first one has more than 30,000 people copying him, more than \$300 million of assets under copy. The second one, \$200 million. Both, by the way, have a track record of, if I remember correctly, over 29% over a tenure of six years and 12 years, respectively. So that moat is a time-based moat. Nobody replaces Warren Buffett that fast. Nobody replaces 10-year Onitro. I do think, of course, we've innovated and created a category that will eventually change a lot of how people think of generally portfolio management in the RIA industry. And we'll see younger audiences. There's a big gap, by the way, across the world that financial intermediaries are getting older and that younger audiences are not looking for their advice. And I do believe that our product category as a category will significantly scale. And the moat that we have is the track record of those customers and, again, bringing them new tools now where they can actually build their apps. They can monetize them eventually in a subscription model. Initoro to basically end. We already have significant communities of customers. So popular investors in France are actually meeting our customers in France, popular investors, again, Germany and Australia and the UK. And that is something that the competitive landscape doesn't have.

JAMES YARROW Analyst, Goldman Sachs

Excellent. Very clear. You touched on prediction markets already. Given the vast majority of your customers are outside the U.S., could you touch on whether you see a prediction markets opportunity for your non-U.S. customers?

YONI ASYA CEO

So it does seem like prediction markets right now, at least from our analysis, is very much U.S., the on-chain regulated one, sorry, the off-chain, the regulated prediction markets is very much a U.S.-led business and very high interest rates. In the U.S., which is right from a regulated perspective, we're looking at the U.S. A lot of the activity outside the U.S. actually sits more with crypto native customers. So, again, those younger audiences that are crypto native, that know how to move their crypto and basically trade directly on chain. So I'd say that's roughly what we're

seeing U.S. with crypto. the regulated infrastructure to offer prediction markets where it's an NFA, CFTC, regulated activity towards which we'll build in the U.S., and globally more of an on-chain activities of prediction markets happening in basically non-custodial wallets.

JAMES YARROW Analyst, Goldman Sachs

That's very clear. Thanks a lot.

OPERATOR Operator

Thank you. And our next question comes from John Todaro with Needham & Company. Your line is open.

JOHN TODARO Analyst, Needham & Company

Great. Thanks for taking my question. Congrats on the strong quarter. I guess first one, just as it relates to crypto regulation and in particular the Clarity Act, is there just kind of anything in the current iteration of the bill where maybe you would like to see adjusted? Just kind of any additional thoughts there. We've been getting them from some of your peers.

YONI ASYA CEO

We usually try not to comment on sort of regulations and sort of where they are in the process as we are regulated in many places under different regulators across the globe. We do believe... that clarity in regulation helps significantly an industry to mature. We've seen that in Europe with MICA. We've seen it already, I'd say, in the environment right now here in the U.S. And the biggest driver, by the way, what is going to drive, in our view, is the path towards new types of asset classes moving on chain. So the more clarity... There is in an industry, and we're seeing in Europe now, banks, insurance companies, private equity firms, basically tokenizing different types of assets to be able to distribute them into that new audience. So as we'll see clarity in regulation here in the U.S., we believe we'll see also more opportunities to bring in more new products to our customers. And we've seen the largest... wealth managers in the world already working today with eToro, whether it's BlackRock, Flink, Templeton, WisdomTree, now Amundi as well, ARK. So we are seeing the interest of basically the large financial institutions, asset managers that are issuing new products and they want to deliver those products into a global audience and into a younger audience. Very early days of that, but there's no doubt that more clarity and regulation will expand that.

JOHN TODARO Analyst, Needham & Company

Great. That's very helpful. Thanks for that. And then just kind of going back to prediction markets, it sounds like from your prior comments that you guys would still look to work with a partner like Akelshi or Polymarket, whether in the U.S. or outside the U.S. Is there an avenue where you could kind of go at this alone, though, and offer something more directly?

YONI ASYA CEO

We're currently looking at the industry. I think the industry is evolving very fast, both in predictions and in purpose, different regulatory environments across both categories. We do believe that working with partners and there's now an emerging by the way new type of what's called a prediction aggregator so you can actually use aggregators to find the best prices on predictions for example the same with perps uh so uh we are we are looking uh in that space right now uh to partner versus to build the entire stack on our own got it understood thank you again

OPERATOR Operator

Thank you. And that's all the time we have for questions. I'd like to turn the call back over to Daniel Amir for closing remarks.

DANIEL AMIR Head of Investor Relations

Yeah, thank you for attending the call today. And we're looking forward to seeing you at the upcoming investor conference during the quarter. You're welcome to follow up with me directly. Thank you and have a great day.

OPERATOR Operator

Thank you for your participation.